

		Plaintiff is ordered to provide notice, including to the LWDA, and to file a proof of service. Plaintiff must also serve the LWDA with any supplemental brief and any amended settlement documents, and file a proof of service. No earlier hearing date is available for this motion.
14	Sandoval v. Fortis Enterprise Inc. 2025-01461144	<u>Plaintiff's Motion for Approval of PAGA Settlement</u> "Because an aggrieved employee's action under the Labor Code Private Attorneys General Act of 2004 functions as a substitute for an action brought by the government itself, a judgment in that action binds all those, including nonparty aggrieved employees, who would be bound by a judgment in an action brought by the government." <i>Arias v. Superior Court</i> (2009) 46 Cal.4th 969, 986. PAGA settlements are subject to trial court review "to determine whether [they are] fair, reasonable, and adequate in view of PAGA's purposes to remediate present labor law violations, deter future ones, and to maximize enforcement of state labor laws." <i>Moniz v. Adecco USA, Inc.</i> (2021) 72 Cal.App.5th 56, 77. The court has reviewed and considered the papers filed in support of plaintiff's motion for approval of a \$117,500 PAGA settlement. The court has the following questions and comments: <u>As to the settlement:</u> 1. Why is the defendant funding the settlement funds in three installments? Settlement Agreement ¶ III.2. If defendant is paying the settlement in installments due to defendant's financial condition, admissible evidence of defendant's financial condition must be provided, including appropriate financial documents such as balance sheets, cash flow statements, and profit and loss statements. 2. The parties should provide the estimated high and low individual PAGA payments. 3. Plaintiff should provide her anticipated total amount to be received (including for any individual claims). Plaintiff should also submit a copy of her individual settlement agreement. The court declines to review the document in camera, as all materials filed in support of plaintiff's motion must be part of the court file for this action. If the parties contend the agreement is confidential, the parties should have lodged a copy of the agreement conditionally under seal and filed a noticed motion to seal the document before the July 16, 2026 hearing on this motion; if that remains the parties' position, the parties should promptly do so, as the court will not grant plaintiff's motion until the agreement has been submitted to the court. The motion to seal should explain, <i>inter alia</i>, why plaintiff's individual settlement agreement should be shielded from, e.g., the aggrieved employees whose interests plaintiff purports to represent.

		4. The definition of "Individual PAGA Payment" in paragraph 1.6 is inconsistent with paragraph III.4.b. 5. The settlement agreement should state whether any portion of the gross settlement amount will revert to defendant. 6. The "Released Claims" provision in paragraph I.18 is overbroad. Releases for aggrieved employees other than plaintiff should not release more than the civil penalties available under PAGA based on the facts alleged in the operative complaint and the notice letter(s) to the LWDA. In addition, paragraph III.5 appears duplicative of portions of paragraph I.18. Paragraphs I.18 and III.5 should be harmonized. The last sentence of paragraph III.5 appears to contradict the first sentence of the same paragraph. 7. The "Released Parties" provision in paragraph 1.19 of the settlement agreement is overbroad. It includes ambiguous, unidentified and/or unrelated third parties such as "unit holders," "agents, principals, heirs, representatives, accountants, auditors, consultants," "affiliates," and "attorneys." In addition, the phrase "from all claims, demands, rights and liabilities as set forth above" does not make sense and should be removed. 8. Paragraphs V.16 and V.17 should be revised to state that the prevailing party attorneys' fees and costs provisions in those paragraphs will not be enforced against unnamed aggrieved employees. 9. Defendant should advise, in a declaration filed with the court, whether, after making reasonable inquiry, it is aware of any class, representative or other collective action in any court that asserts claims similar to those asserted in this action. If any such actions are known to exist, the declaration shall also state the name and case number of any such case and the procedural status of that case, and describe the impact of the settlement on that case. 10. Plaintiff's counsel must submit contemporaneous time records reflecting the timekeeper, date of work, task, and time spent on each task. 11. Attorney Gaines states he is sharing fees with other law firms, divided as follows: 66 2/3% to Gaines Law Corporation; 16 2/3% to Gaines & Gaines, APLC, and 16 2/3% to Law Offices of Alex P. Katofsky, APC. Gaines Decl. ¶ 38. If the law firms of Gaines & Gaines, APLC and Law Offices of Alex P. Katofsky, APC performed work on the case, those law firms must submit time records, billing statements, or other records contemporaneously documenting the work performed and time spent by each timekeeper at those firms. If Gaines & Gaines, APLC and Law Offices of Alex P. Katofsky, APC did not perform any work on the case, counsel should so state.
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15	Varela v. Florence Crittenton Services of Orange County, Inc. 2025-01462276	<u>Plaintiff's Motion for Preliminary Approval of Class Action and PAGA Settlement</u> The court has reviewed and considered the papers filed in support of plaintiff's motion for preliminary approval of a \$500,000 class action and PAGA settlement. The court has the following questions and comments: 1. Were the motion papers served on the LWDA? Exhibit E to the Otkupman Declaration (ROA 42) states that only a "Proposed Settlement" was submitted to the LWDA. Plaintiff must file with the court a proof of service identifying the specific documents served on the LWDA, when plaintiff served the documents, and how service was effected. <u>As to the settlement:</u> 2. The parties should state the estimated average, high and low individual class payments and the estimated average, high and low individual PAGA payments.